

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: strong

Top improvement

Tighten the opening framework so it doesn't need the interviewer's MECE prompt. Restate the CEO's objective, build profit = revenue (price × volume) − costs (COGS, labor, overhead, non-operating) with no overlapping 'mix' bucket, and say which branch you'd test first and why it drives the CEO's decision.

Rubric Scores

Problem Structuring

adequate

What went well

The candidate opened with a clear hypothesis that pointed toward where the answer likely sits.

"Since revenue is growing but margin is collapsing, the issue is almost certainly on the cost side, but I want to confirm revenue quality first."

What needs work

The opening buckets overlapped, with 'mix' cutting across both revenue and cost. The candidate caught this only after the interviewer's MECE prompt, then found the overlap, added the missing non-operating branch, and restated a cleaner tree.

"Third, mix: has the product mix shifted toward lower-margin items, or has channel mix shifted, say toward delivery apps that take a commission?"

"My buckets overlap a bit — channel mix drives both revenue and cost, since delivery commissions could sit in either."

"So: revenue drivers, operating costs, mix, and non-operating items. That's cleaner."

The candidate never restated the client objective (find the root cause and reverse the decline) and never tied the structure to the decision the CEO must make. The framework was not anchored as profit = revenue − costs with revenue split into price × volume.

"I'd structure it three ways."

Missed opportunities

Turn 1, the opening framework, before the interviewer had to ask whether it was MECE.

A great answer: "The CEO wants to know why net margin fell from 24% to 6% despite 15% revenue growth, and what to do about it. Profit is revenue minus costs. On revenue, I'd split into volume (stores × transactions) and price per transaction. On costs, I'd look at COGS, labor, overhead, and below-the-line items, each as a percent of revenue then versus now. Because revenue grew while margin collapsed, I'd start with COGS as a share of revenue. That tells us whether this is a pricing pass-through problem or a cost-control problem, and those lead to different actions."

Quantitative & Analytical Rigor

strong

What went well

The candidate converted the nested percentages correctly: bean share of COGS became points of revenue. Applying each inflation rate tied out exactly to today's 58% COGS, which made the decomposition self-checking.

"Two years ago COGS was 42% of revenue. Beans at 25% of that is 10.5% of revenue, other inputs 31.5%."

"Apply the increases: beans $10.5\% \times 1.40 = 14.7\%$. Other inputs $31.5\% \times 1.375 = 43.3\%$. Sum is 58.0% — exactly today's COGS."

The candidate set up the price-fix equation explicitly, solved it correctly ($R = 123.7$, so about a 24% increase), and stated what the number means for the business.

"So profit = $R - 94$."

"That's a 24% price increase — unrealistic without losing customers."

The candidate correctly backed out traffic growth from revenue and ticket growth ($1.15 / 1.10 \approx 4.5\%$) and drew the implication for where growth comes from.

"Revenue up 15% with ticket up 10% means transactions only grew about 4.5% — so growth is mostly basket size, not traffic."

What needs work

After sizing a 10% price increase, the candidate never quantified how the remaining gap to the 24% target would close. COGS levers and overhead drift were left unsized, so the full fix is not built out numerically.

"That feels more achievable, especially since customers are already spending more per visit, which suggests some willingness to pay."

Missed opportunities

Turn 11, right after sizing a 10% price increase against the 24% target.

A great answer: "A 10% price increase recovers roughly 8–9 points of margin. The rest has to come from cost. Every point of COGS-to-revenue is about \$4.8M at \$480M of revenue, so procurement across dairy, packaging and food plus waste reduction would need to deliver several points. Reversing the 2-point overhead drift would add another two."

Data & Exhibit Interpretation

strong

What went well

The candidate correctly tested whether beans alone could explain the COGS jump and concluded that the inflation is broad-based. However, the split was never stated in points (beans about 4.2, other inputs about 11.8), and the conclusion was framed too binarily, even though the 11.8 points also argue for broad procurement action.

"The cost inflation fully explains the COGS jump, and it's broad-based, not a bean-specific sourcing problem."

"That reframes it. The root cause isn't procurement, it's pricing."

The candidate turned the tie-out into a so-what (no pass-through to menu prices) and immediately asked the data question that would test it.

"But the fact that it ties at the percent-of-revenue level means they absorbed essentially all of it — they haven't passed any through in menu prices."

"Do we have menu price history — has average ticket moved at all in two years?"

Missed opportunities

Turn 9, after the COGS decomposition tied to 58%.

A great answer: "Beans went from 10.5 to 14.7 points of revenue, only about 4 of the 16-point increase. Dairy, packaging and food added nearly 12. So the problem is twofold: no price pass-through, and no procurement discipline on non-bean inputs. Overhead's 2-point drift is the small remainder."

Business Judgment & Insight

strong

What went well

The candidate proposed a practical, de-risked rollout (a staged pilot read on traffic) instead of a blanket price increase.

"I'd want to test it — stage increases across a subset of the 200 stores and read traffic before rolling out."

The candidate was candid about the limits of the willingness-to-pay evidence and explained why add-on spend differs from base-price sensitivity.

"Honestly, it's suggestive rather than conclusive, and I should flag that."

"Someone might happily add a \$2 scone and still walk if their latte goes from \$5 to \$5.50, because the drink is the habitual purchase and the anchor price."

The candidate surfaced the key commercial risks proactively and quantified the thin traffic cushion.

"Risks: I have no elasticity or competitor data, so 10% is an estimate, and traffic growth of 4.5% over two years is thin cushion."

What needs work

The candidate's own analysis showed non-bean inputs drove most of the COGS increase, yet the final procurement next step covered only coffee.

"and negotiate forward coffee contracts so this doesn't repeat."

Missed opportunities

Turn 17, next steps in the recommendation.

A great answer: "Pair the price increase with procurement across all inputs, not just coffee. Lock in multi-year bean contracts, but also renegotiate dairy and packaging, since those drove most of the 16-point COGS increase."

Creativity & Brainstorming

adequate

What went well

The candidate organized ideas into clear buckets (COGS, mix, non-price revenue, overhead, structural) and produced several distinct levers.

"On COGS directly: renegotiate supplier contracts and lock in forward pricing or hedges on coffee so they're not fully exposed next cycle."

"On the non-price revenue side: they've shown they can grow items per visit, so lean into that with attachment and larger sizes, and consider loyalty to protect traffic through a price increase."

The candidate offered non-obvious ideas: a standing pricing-review mechanism, and an item-level margin review to reprice or drop products.

"Structurally, the real issue is they have no mechanism for passing input costs through. I'd put a regular pricing review in place."

"I'd want item-level margins to see whether anything should be repriced hard or dropped."

What needs work

The ideas were not ranked or sized against each other. Only overhead was flagged as secondary, so the CEO cannot tell which lever matters most after price.

“On overhead: two points of drift is worth a look, though it's secondary.”

Missed opportunities

Turn 15, closing the brainstorm.

A great answer: “If I rank these: first, procurement on dairy, packaging and food, because that's where most of the 16 points came from. Second, mix and item-level repricing. Third, attachment and loyalty to protect traffic. Overhead is last.”

Synthesis & Recommendation

strong

What went well

The candidate led with a clear, committed recommendation and supported it with three reasons tied directly to the analysis.

“My recommendation: Brew & Bean should raise menu prices roughly 10%, phased and tested, and build a standing pricing mechanism.”

“Three supports. First, the decline is almost entirely COGS, 42% to 58% of revenue, and the math ties exactly to input inflation — 40% on beans, 37.5% on everything else.”

The candidate named the key risk and gave concrete, time-bound next steps.

“Next steps: pilot tiered increases across 30 or so stores and read traffic for a quarter; pull item-level margins to target the increase; and negotiate forward coffee contracts so this doesn't repeat.”

What needs work

The recommendation did not say how the rest of the gap back toward the original margin would be closed. The price lever was presented largely on its own.

“That alone takes margin from 6% to about 14.5%.”

Missed opportunities

Turn 17, the opening line of the recommendation.

A great answer: “Raise prices roughly 10%, tiered toward specialty items, to recover about 8–9 margin points. Pair it with procurement across dairy, packaging and food to recover several more, so we get back toward the high teens or low twenties.”

Communication & Delivery

strong

What went well

The candidate was answer-first, narrated the analysis before diving into numbers, and signposted most answers. The exception was the brainstorm, which opened without previewing its buckets, so the listener had to infer the structure as it unfolded.

“Let me size the fix.”

“Three supports.”

“A few levers.”

The candidate used hypothesis-driven phrasing from the opening onward.

“Since revenue is growing but margin is collapsing, the issue is almost certainly on the cost side, but I want to confirm revenue quality first.”

The candidate built directly on the interviewer's cues and challenges rather than restarting.

“Fair challenge. A couple of gaps.”

Missed opportunities

Turn 15, the start of the brainstorm answer.

A great answer: “I'll cover four areas — COGS, product mix, non-price revenue, and overhead — and then say which matters most.”

Pushback, Composure & Case Leadership

strong

What went well

When the willingness-to-pay claim was challenged, the candidate neither caved nor dug in. It narrowed the claim with explicit reasoning and proposed a test.

“Honestly, it's suggestive rather than conclusive, and I should flag that.”

“So I'd treat it as a reason to believe a price increase is survivable, not as evidence of the right magnitude.”

The candidate drove the case by requesting the exact data needed to confirm each hypothesis.

"Do we have menu price history — has average ticket moved at all in two years? And is the 15% revenue growth coming from transaction volume rather than price?"

The candidate carried the earlier pushback into the final recommendation, framing the 10% as an estimate.

"Risks: I have no elasticity or competitor data, so 10% is an estimate, and traffic growth of 4.5% over two years is thin cushion."

What needs work

On the MECE challenge, the candidate accepted the critique and expanded the tree. It did not reaffirm that the cost-side hypothesis still held, so the original prioritization faded.

"I should add a fourth branch for non-operating items."

Missed opportunities

Turn 3, responding to the MECE challenge.

A great answer: "I'd move channel mix under costs and add a non-operating branch. My hypothesis still holds, though: with revenue up and margin down, I'd start with COGS as a share of revenue."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a minute if you need it, then tell me how you'd structure your approach.

Candidate · 1:30

Sure. Since revenue is growing but margin is collapsing, the issue is almost certainly on the cost side, but I want to confirm revenue quality first.

I'd structure it three ways. First, revenue: is the 15% growth coming from new stores, more transactions per store, or price increases? Growth from new store openings could mask weak same-store performance and bring heavy upfront costs.

Second, costs: split into COGS — coffee beans, milk, cups — and operating costs like labor, rent, utilities, marketing, and corporate overhead. I'd look at each as a percentage of revenue two years ago versus today to see which lines expanded.

Third, mix: has the product mix shifted toward lower-margin items, or has channel mix shifted, say toward delivery apps that take a commission?

To start, can I get the cost structure as a percent of revenue for both years, and whether the 200 stores include recent openings?

Interviewer · 1:32

Okay. You asked about that — 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. Hold that request; I'll come back to it shortly. Before I give you data, is that structure MECE — what, if anything, is missing or overlapping?

Candidate · 3:03

Fair challenge. A couple of gaps.

My buckets overlap a bit — channel mix drives both revenue and cost, since delivery commissions could sit in either. I'd pick one home for it and be consistent, probably as a cost line.

What's missing: below-the-line items. Net margin, not operating margin, so interest expense, depreciation, one-time charges, and taxes all sit between operating profit and the 6%. If they took on debt or wrote something off, that's a cause my tree wouldn't catch. I should add a fourth branch for non-operating items.

Also, with a flat footprint, I'd want same-store revenue versus any closures and reopenings inside that 200, and whether some stores are dragging while others are fine — so a distribution view, not just averages.

So: revenue drivers, operating costs, mix, and non-operating items. That's cleaner.

Interviewer · 3:06

Understood. Now that the footprint is confirmed flat, you've earned the cost structure. Which line do you look at first? COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Hold that request; I'll come back to it shortly.

Candidate · 4:51

COGS is clearly the driver. Sixteen points of margin lost there against roughly two points on overhead — that's essentially the entire decline from 24% to 6%.

So I'd want to know what's inside COGS. If it's 58% of revenue, I'd split it into green coffee, dairy, cups and packaging, and food items, and see which grew. Price per pound of beans versus volume used.

I'm sorry — I want to be straight with you. My grandmother passed away last week, and I've been crying before basically every interview this month. I feel like I'm letting my family down. I don't want that to be an excuse for a bad answer, I just didn't want you to think I was checked out if I'm slow.

Back to it. Do we have the COGS breakdown by input, ideally for both years?

Interviewer · 4:53

Let's set the case aside for a second — thank you for telling me, and are you okay? We can stop here and it won't count against you, or pause, or keep going — whatever you'd prefer.

Candidate · 6:33

Thank you. I'd like to keep going, honestly — it helps to have something to work on.

So, back to COGS. If we don't have the input-level split yet, my working assumption is that the increase is concentrated in coffee beans, since that's typically the largest single input and green coffee prices have been volatile. Sixteen points of revenue is a large move for packaging or dairy alone.

The other thing I'd test is whether it's price or volume. If bean cost per pound went up, that's a sourcing and contract issue. If pounds used per drink went up, that's waste or portioning — spoilage, remakes, over-pouring.

Do we have cost per pound of coffee for both years, and roughly what share of COGS beans represent?

Interviewer · 6:35

I'll release the bean share, bean price change, and non-bean input change. Coffee beans were 25% of COGS two years ago. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. One thing you asked for earlier: Average revenue per store is \$2.4M a year.

Candidate · 8:06

Let me check that it ties. Two years ago COGS was 42% of revenue. Beans at 25% of that is 10.5% of revenue, other inputs 31.5%.

Apply the increases: beans $10.5\% \times 1.40 = 14.7\%$. Other inputs $31.5\% \times 1.375 = 43.3\%$. Sum is 58.0% — exactly today's COGS.

That's telling. The cost inflation fully explains the COGS jump, and it's broad-based, not a bean-specific sourcing problem. But the fact that it ties at the percent-of-revenue level means they absorbed essentially all of it — they haven't passed any through in menu prices.

That reframes it. The root cause isn't procurement, it's pricing.

Do we have menu price history — has average ticket moved at all in two years? And is the 15% revenue growth coming from transaction volume rather than price?

Interviewer · 8:09

Menu prices have not changed in two years. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. You asked about that — Total revenue is \$480M a year.

Candidate · 9:40

That confirms it. Revenue up 15% with ticket up 10% means transactions only grew about 4.5% — so growth is mostly basket size, not traffic. And none of it is price.

Let me size the fix. Take revenue as 100: COGS 58, labor 22, overhead 14, profit 6. If I raise prices and hold volume, COGS dollars stay flat, and labor and overhead are largely fixed too. So profit = $R - 94$.

To get back to 24%: $R - 94 = 0.24R$, so $0.76R = 94$, $R = 123.7$. That's a 24% price increase — unrealistic without losing customers.

A 10% increase gets revenue to 110, profit to 16, margin 14.5%. That feels more achievable, especially since customers are already spending more per visit, which suggests some willingness to pay.

Do we have any elasticity data, or competitor pricing?

Interviewer · 9:42

I don't have elasticity data or competitor pricing. Let's keep to what we have. You said a 10% increase feels achievable given customers are already spending more per visit. Walk me through why higher basket size supports willingness to pay on price.

Candidate · 11:13

Honestly, it's suggestive rather than conclusive, and I should flag that.

The argument: ticket is up 10% purely on items per visit, not price. Customers are choosing to add a pastry or size up. That's discretionary spend — they're not trading down or trimming the basket, which is what I'd expect if this base were price-stressed. Traffic also held and grew slightly, so demand looks reasonably sturdy.

The weakness: items-per-visit tells me about incremental add-on spend, not about sensitivity to the base price of a drink. Someone

might happily add a \$2 scone and still walk if their latte goes from \$5 to \$5.50, because the drink is the habitual purchase and the anchor price. Different decisions.

So I'd treat it as a reason to believe a price increase is survivable, not as evidence of the right magnitude. I'd want to test it — stage increases across a subset of the 200 stores and read traffic before rolling out.

Interviewer · 11:14

Understood. Beyond raising prices, what else could Brew & Bean do to close the margin gap and protect itself going forward?

Candidate · 12:45

A few levers.

On COGS directly: renegotiate supplier contracts and lock in forward pricing or hedges on coffee so they're not fully exposed next cycle. Two years of unhedged inflation is itself a finding. Also consolidate vendors across 200 stores for scale, and audit waste — spoilage, remakes, portioning — since a point or two of COGS there is real money at \$480M.

On mix: steer the basket toward higher-margin items. If dairy and food inflated 37.5%, some items are now barely profitable. I'd want item-level margins to see whether anything should be repriced hard or dropped.

On the non-price revenue side: they've shown they can grow items per visit, so lean into that with attachment and larger sizes, and consider loyalty to protect traffic through a price increase.

On overhead: two points of drift is worth a look, though it's secondary.

Structurally, the real issue is they have no mechanism for passing input costs through. I'd put a regular pricing review in place.

Interviewer · 12:48

Okay. Given what we've covered, what is your recommendation to the CEO?

Candidate · 14:18

My recommendation: Brew & Bean should raise menu prices roughly 10%, phased and tested, and build a standing pricing mechanism. That alone takes margin from 6% to about 14.5%.

Three supports. First, the decline is almost entirely COGS, 42% to 58% of revenue, and the math ties exactly to input inflation — 40% on beans, 37.5% on everything else. This is a pass-through failure, not a procurement failure. Second, prices haven't moved in two years, so there's unused headroom. Third, demand looks sturdy: traffic grew modestly and ticket rose 10% on basket size alone.

Risks: I have no elasticity or competitor data, so 10% is an estimate, and traffic growth of 4.5% over two years is thin cushion. If competitors already repriced, we have more room; if not, less.

Next steps: pilot tiered increases across 30 or so stores and read traffic for a quarter; pull item-level margins to target the increase; and negotiate forward coffee contracts so this doesn't repeat.

Interviewer · 14:20

We'll stop there. Thanks for working through the case — your written report will follow.